The maximum contribution you can make towards EPF+ VPF together is 100% of your basic salary and Dearness Allowance (DA).

If you would like to invest in such a scheme, you need to instruct the payroll department of your organization to deduct a pre-decided rate over the mandatory 12%, every month. This will go into your VPF. It is left to you as the employee to decide whether you would want to go in for a VPF and how much over 12% (which can be up to 100% of your basic salary and DA), you want to invest. But your organization will contribute an amount matching only the 12%.

However, the downside is that while you get good risk-free returns, you should be prepared to have your money locked in, till the time of your freedom. This can be a disadvantage for a mature investor, but a blessing for someone who is just starting to learn to invest and stay invested.

In case you make a premature withdrawal from your PF account, (which holds both your EPF and VPF contributions) you will have to pay taxes on this withdrawal amount.

Many PF accounts are managed by EPFO, but if your PF is managed through a company trust, it may not sound like a very attractive idea for your company trust to pay about 9% to 9.5% on your VPF, more so, if you do not have an upper ceiling to it. Therefore, many organizations underplay the idea of VPF. Companies usually do not encourage their employees because it would mean a higher interest cost for the trust.

Benefits of VPF

- Employees can take a loan against the amount accumulated in the PF (VPF+EPF) fund. However availing of loans depends on permissible rules and circumstances. They can access money for reasons such as housing, marriage, children's education etc.
- VPF can give you a tax benefit under section 80C of the Income Tax Act.
- During withdrawal, both the principle and the interest are tax free.